

Searching and matching



In the standard model of markets, prices are what bring demand into line with supply. In the labour market, the number of people who want to work at the going wage should equal the number that employers wish to take on. In reality, however, workers don't know about all the jobs and salaries available. Acquiring information about job opportunities is costly in terms of time and research, so workers will search for a job until they find a good match – one that fulfils their preferences at an acceptable wage. But because search is costly it is rational for them to limit the amount of time they spend searching and to accept a wage that is 'high enough', even if there may be higher-paid jobs available. These costs mean that a range of wages can be found for the same job, rather than a single one. They also explain the phenomenon of 'frictional unemployment' – the unemployment

that exists even in booming economies simply because of the time it takes for workers to find new jobs.